Question 1

Read the following scenario.

You are an audit manager reviewing the minutes of the close-out meeting with the finance director ('FD') of Heather plc, a listed client, and your audit partner ('AP') to analyse which specific points from the meeting required to be reported to those charged with governance. The meeting notes are as follows:

Audit of Heather plc for the year ended 31 March 20X0 Minutes of close out meeting (extract)

1. The AP confirmed that she intended to sign the audit report on 2 July 20X0 in line with the previously agreed timetable.
2. FD updated AP on the company's recent Environmental Agency report after an unauthorised discharge of contaminated wastewater into the local tidal estuary.
3. The FD confirmed that legal action has been taken against an employee found guilty of stealing computer equipment. The FD thanked the AP for the audit team identifying the theft following a physical verification of new computers purchased during the year.
4. AP informed FD of the weaknesses identified during the internal control testing. There were three instances when minor payments did not have evidence of receipts.

   When testing the purchasing system, the purchasing clerk informed the audit team that purchases could be made with a verbal request. For those verbal requests, the requisition forms were not always completed and authorised by the heads of departments.
5. AP informed FD that the audit team had completed its detailed analysis of the inventory provision in the year-end financial statements. The estimates used by the directors were highly judgemental and material. In the end, the stock manager assisted the audit team in order to gain a sufficient level of assurance over the provision balance.

The FD thanked the AP for the audit team's hard work in getting the audit completed in a timely manner and highlighted that the audit committee would be recommending to the shareholders that the firm be retained as auditors for next year.

Question:

Analyse, with reasons, which specific points from the meeting require to be reported to those charged with governance.

(13 marks)

Question 2

Read the following scenario.

You are the audit senior on the audit of the financial statements of Kitchen Equipment Limited ('Kitchen') for the year ended 31 August 20X0. Kitchen manufactures small electrical items for use in the home and distributes them for sale through department stores and other shopping outlets throughout the UK. The audit fieldwork is complete and you are reviewing Kitchen's forecast cashflows and the related management commentary provided by the FD to support the assumption that the company will continue as a going concern. Your audit manager has asked you to draft points for inclusion in a briefing note evaluating the cash flow forecasts and advising on further specific audit evidence to be obtained, and audit procedures to be performed, to obtain appropriate assurance over management's going concern assumption.

The FD has provided the following cashflow forecast which was extracted from the 20X1 budget (Appendix 1) and has been used as the basis for management's assumption that the company will continue as a going concern.

In addition to the cash flow forecast, the FD has provided commentary in relation tomanagement's consideration of the going concern basis (Appendix 2).

Question:

Evaluate the cash flow forecast and advise on any furtheraudit evidence to be obtained and audit procedures to be performed to obtain appropriate assurance over management's going concern assumption.

(50 marks)

Appendix 1

	Note	Quarter ending 30 Nov 20X0 £000	28 Feb 20X1 £000	31 May 20X1 £000	31 Aug 20X1 £000
Cash inflows					
Product sales					
- New product line – oven cleaning	1	50.0	65.0	80.0	100.0
- Existing product lines	2	150.0	150.0	150.0	150.0
Supplier rebates	3	40.2	41.4	39.9	41.4
Bank loan	4				100.0
Total cash inflows		240.2	256.4	269.9	391.4
Cash outflows					
Supplier payments		(96.0)	(100.0)	(107.0)	(114.0)
Payroll costs		(67.0)	(61.0)	(61.0)	(62.0)
Rent and property running costs		(10.5)	(10.5)	(10.5)	(10.5)
Administrative costs		(7.1)	(7.1)	(7.1)	(7.1)
Loan repayments	4	(8.3)	(2.8)	(8.3)	(6.0)
VAT		(30.0)	(32.6)	(36.0)	(39.0)
Corporation Tax		0.0	0.0	0.0	0.0
Total cash outflows		(218.9)	(214.0)	(229.9)	(238.6)
Total net cash inflows		21.3	42.4	40.0	152.8

Appendix 2

Notes to the cashflow forecast

1. Our new oven cleaning service was launched in July 20X0. Forecasts prepared prior to the product launch were that, from the launch date, the service would match the sales of all other product lines and then overtake them within 6 months. Actual sales in the first 2 months since launch were 50% of forecast, but we are hopeful that this will improve.
2. Market research carried out by our sales team shows that a new competitor entered the kitchen gadgets market at the beginning of 20X0 and, so far, they are doing well. They launched a very similar oven cleaning service in June 20X0 and are offering a number of other product lines similar to our own.
3. Rebates are always a key negotiating point in the contract negotiations with one of our suppliers. The current contract ended on 30 November 20X0, but we are continuing to trade with them as our legal team negotiates a new contract. The rebate clause is the main outstanding issue, with a reduction to the rebate percentage being proposed by the supplier. Supplier rebates are paid two months after the related purchases are made.
4. A further bank loan of £100,000 is required to fund work to enhance the manufacturing facilities. This is forecast to be granted in June 20X1 and should be repayable under the same terms and conditions as our current loan.

   The current bank loan, taken out to fund the purchase of manufacturing equipment essential for the operation of the business, is being repaid over a 3-year term which is due to end in May 20X1. The loan included a 6-month interest-free period.

From your team's review of post-year-end events and board minutes, your audit manager has given you the following additional information:

- The management accounts presented to the board meeting at the end of November 20X0 showed a net current liabilities position with the bank overdraft coming close to its limit due to fluctuations in the company's normal working capital cycle. This was due to the timing of receipts from customers and delays in the receipt of supplier rebates.

- The minutes set out the board's view that, despite the short-term issue with the bank overdraft in November, Kitchen will continue to be a profitable company and consequently is a going concern. The minutes also confirmed that the accounts are due to be signed following a board meeting on 23 December 20X0.

- Monthly management accounts have also been requested from the client. A review of these and sensitivity analysis of the assumptions will be completed once the client has addressed any concerns covered in your briefing note.